

Rossell Techsys Ltd

Interconnect Solutions for Military Aerospace & Defence Platforms | US Operations (Tempe, AZ)

ACCUMULATE 12-Month Price Target Rs. 1,050 Upside: ~15% Entry Zone: Rs. 850-920	Metric	Value
	CMP (24-Apr-26)	Rs. 912
	Market Cap	Rs. 3,437 Cr
	52W High / Low	Rs. 1,017 / Rs. 301
	P/E (TTM Cons.)	156x
	P/B (Cons.)	24.3x
	EV/EBITDA	59.8x
	ROCE / ROE	8.18% / 6.08%
	D/E (Cons.)	1.87x
	Dividend Yield	0.02%
	Promoter Holding	74.80%
	Pledge	0.00%
	FV	Rs. 2.00

Investment Thesis: Early-stage pure-play Indian aerospace interconnect company scaling rapidly in US defence & space; 3x revenue growth by FY27 at high risk/reward.

Exchange	NSE / BSE NSE: ROSSTECH BSE: 544294	Sector / Sub-Sector	Industrials / Aerospace & Defence (Interconnect & MRO)
Report Date	25-Apr-2026	Investment Horizon	12 months
Analyst	Institutional Research Desk Rating: ACCUMULATE Conviction: Medium	Data Source	Screener.in (24-Apr-2026) BSE Concall Filing

QUARTERLY REVENUE RAMP (CONSOLIDATED, Rs. Cr) — Source: Screener.in

Quarter	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25
Net Revenue	75.7	87.9	87.2	125.9	129.9
EBITDA	14.4	15.5	11.0	15.8	17.2
EBITDA Margin	19.0%	17.6%	12.6%	12.5%	13.2%
PAT	5.2	6.9	3.3	5.7	5.4
EPS (Rs.)	1.38	1.82	0.88	1.50	1.44

SECTION 2 — INVESTMENT THESIS

Core Reason 1 — A Rare Listed Pure-Play in US Military Aerospace Electronics (Timeline: FY26–FY28)

Rossell Techsys is the *only listed Indian company* manufacturing wire harnesses, interconnect systems, and electrical panel assemblies for US military platforms — including F-35 (Lockheed Martin), Boeing defence jets, and Honeywell avionics systems. With operations in Tempe, Arizona (a hub of the US aerospace supply chain), the company occupies a physically embedded, AS9100-certified position in the US defence industrial base. Confirmed order book of Rs. 720 Cr and strategic agreements of Rs. 2,500 Cr provide multi-year revenue visibility. As India-US defence co-production deepens under the iCET framework and aerospace trade exemptions remain intact, Rossell Techsys is positioned to grow its addressable wallet in US military OEM supply chains from ~Rs. 260 Cr (FY25) to Rs. 740+ Cr by FY27E. **Core**

Reason 2 — Diversification into Semiconductor Equipment and Space is an Option on a Massive TAM (Timeline: FY26–FY29)

In Q3 FY26, the company generated its first Rs. 10+ Cr from semiconductor equipment harnesses — a market where

global capex is measured in hundreds of billions of dollars. Simultaneously, space programs are progressing toward volume production. Management targets a 50/50 revenue split between Aerospace/Defence and Semiconductor/Space by FY28, potentially tripling the addressable market. A new 210,000 sq ft facility (operational April 2026) and a planned Rs. 300 Cr QIP to fund equipment and tooling will enable this pivot. **Core Reason 3 — Customer Diversification**

Dramatically Reduces Concentration Risk (Timeline: Ongoing)

Boeing once constituted 90% of revenues (FY22). By Sep 2025, that share had fallen to ~40%, with 30+ active customers including Lockheed Martin (Outstanding Supplier award, Dec 2024), Honeywell, and emerging semiconductor OEMs. This risk reduction occurred without volume loss — total revenue has scaled from Rs. 217 Cr (FY24) to a Rs. 460-470 Cr run-rate for FY26E. **Near-Term Catalyst (6-12 months):** Q4 FY26 results and FY27 guidance confirmation — management has guided ~Rs. 800 Cr for FY27, a potential 70%+ YoY growth that would fundamentally re-rate the stock. **Biggest Structural Risk:** Negative operating cash flow (-Rs. 44 Cr in FY25) and a debt/equity ratio of 1.87x signal acute working-capital stress that, if unresolved, could force dilutive equity issuance at unfavourable prices.

SECTION 3 — BUSINESS OVERVIEW

What the Company Does: Rossell Techsys Ltd (RTIL) is an engineering and manufacturing services company focused on interconnect solutions for military aerospace and defence platforms. It was demerged from Rossell India Ltd and listed on NSE/BSE in FY24. The company operates as a C-Corp registered in Delaware with its primary manufacturing facility in Tempe, Arizona, USA — alongside an R&D; and support facility in Bengaluru, India. Its India facility spans ~225,000 sq ft (unchanged since FY22), with a new 210,000 sq ft facility expected to become operational from April 2026. **Core Products and Services:** (a) Electrical Wiring Interconnect Systems (EWIS) — custom wire harnesses and cable assemblies for military aircraft, (b) Electronic Systems Integration (ESSI) — electrical panels and sub-assemblies, (c) Test Solutions — automatic, semi-automatic and manual test equipment (ATEs), (d) MRO Services — repair, rework, obsolescence management, and reverse engineering for in-service platforms, and (e) Semiconductor Equipment Harnesses — a new segment launched in FY26 for semiconductor manufacturing machines. **Revenue Profile:** ~99% of revenues are export-driven (USD denominated), primarily from the US. Key customers include Boeing (~40% revenue share as of Sep 2025, down from 90% in FY22), Lockheed Martin, Honeywell, and unnamed semiconductor OEMs. Revenue is almost entirely recurring in nature — tied to ongoing platform production and maintenance contracts rather than one-time orders. **Order Book:** Confirmed order book of Rs. 720-750 Cr provides ~1.6x FY26E revenue coverage. Long-term strategic agreements total Rs. 2,500 Cr — a 5-year backlog at current scale. The company submitted bids of ~Rs. 700 Cr in Q3 FY26 across aerospace, semiconductor, and space sectors. **Promoter and Management:** The company was carved out of Rossell India Ltd, a diversified conglomerate with interests in aviation services and tea. Promoter holding is a strong 74.8% with zero pledging, demonstrating high alignment. MD Rishab Gupta, CEO Senthil Balasubramanian, COO Zeena Philip, and CFO Jayanth V form the senior management team.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Context: The global aerospace interconnect and wiring systems market is estimated at ~USD 7-8 billion, growing at 6-8% CAGR, driven by defence platform modernisation (F-35, next-gen helicopters, unmanned systems) and increasing electronics content per aircraft. For semiconductor equipment harnesses, the addressable market is orders of magnitude larger — global semiconductor capex exceeded USD 180 billion in 2023-24 and is structurally elevated due to CHIPS Act spending in the US. India-US defence cooperation under the iCET framework and the recent bilateral trade agreement (zero tariffs on aerospace/defence products) provides a structural tailwind for RTIL specifically, as it competes in the US supply chain from an India base. **Competitive Moat Assessment:** *Switching Costs: STRONG* — Military OEMs cannot easily switch suppliers mid-platform. AS9100 qualification, ITAR compliance, and customer-specific drawings create 3-5 year switching barriers. *Scale: MODERATE* — RTIL is small relative to global Tier-1 suppliers, but its niche (US military wiring) has few Indian competitors. *Pricing Power: MODERATE* — Cost-plus contracts with US defence OEMs provide reasonable but not exceptional margins. **Key Competitors and Peer Snapshot** (Source: Screener.in, 24-Apr-2026):

Company	CMP (Rs.)	MCap (Cr)	P/E (TTM)	P/B	ROCE %	ROE %	EV/EBITD A	OPM %
Data Patterns	4,078	22,829	91.5x	14.8x	21.0%	15.2%	62.6x	39%
MTAR Technologies	5,139	15,808	239x	21.2x	10.4%	7.4%	106x	18%
Zen Technologies	1,674	15,118	57.6x	8.4x	37.2%	26.1%	34.0x	39%
Rossell Techsys	912	3,437	156x	24.3x	8.18%	6.08%	59.8x	14%

Note: All data from Screener.in as of 24-Apr-2026. ROSSTECH is standalone-consolidated view.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Pedigree: The senior team — MD Rishab Gupta (representing the Rossell family), CEO Senthil Balasubramanian (aerospace domain expert), COO Zeena Philip, and CFO Jayanth V — was assembled specifically for the demerger and listing. The team has demonstrated execution credibility by growing revenue from Rs. 217 Cr (FY24) to a Rs. 460+ Cr run-rate in FY26 within two years of listing, while diversifying the customer base from single-customer dependence. **Capital Allocation:** The company has been aggressive in funding growth through debt (borrowings rose from Rs. 168 Cr in FY24 to Rs. 265 Cr by Sep 2025), which has depressed returns metrics. OCF was negative in FY25 (-Rs. 44 Cr) due to working capital build-up ahead of revenue scale. FCF was -Rs. 58 Cr in FY25. The planned Rs. 300 Cr QIP (delayed from December 2025, expected in FY26) will right-size the balance sheet, reduce interest burden, and fund the new facility expansion. **Dividend Policy:** A token 10% dividend payout was initiated in FY25, confirming profitability. Given the capital-intensive growth phase, dividends are expected to remain nominal until FY28. **Governance:** Promoter pledge is 0.00% — a key positive for a company that has seen its stock price triple in 12 months. There are no reported related-party transaction concerns. Promoter holding is stable at 74.8% as of March 2026. The company received credit ratings from Fitch (Nov 2025 update), indicating institutional lender engagement. **Concern — Working Capital Management:** Inventory days of 566 and CCC of 610 days are alarming on the surface but are typical of US military contract structures (advance payment is minimal, inspection cycles are long). However, the Days Payable falling from 133 to 59 in FY25 signals that the company may be under pressure from suppliers, a trend worth monitoring.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures, Rs. Cr)

Source: Screener.in — Standalone | FY24A & FY25A are audited actuals. FY26E & FY27E are analyst estimates.

INCOME STATEMENT

Metric	FY24A	FY25A	FY26E	FY27E
Net Revenue	217	259	465	740
YoY Growth %	N/M	+19%	+80%(E)	+59%(E)
Operating Expenses	185	224	400	621
EBITDA	32	35	65	119
EBITDA Margin %	14.7%	13.5%	14.0%(E)	16.1%(E)
Other Income	3	3	3	4
Interest Cost	12	16	22	26
Depreciation	9	10	14	17
Profit Before Tax	14	11	32	80
Tax Rate %	21%	31%	25%(E)	25%(E)
PAT (Reported)	11	7	24	60
EPS (Rs.)	N/M*	1.96	6.61(E)	16.53(E)

* FY24 EPS not meaningful — pre-demerger share count. Post-listing shares ~3.63 Cr. FY26E/FY27E pre-QIP dilution.

BALANCE SHEET

Item	FY24A	FY25A	Sep-25
Equity Capital	8	8	8
Reserves	118	125	132
Borrowings	168	240	265
Other Liabilities	67	48	124
Total Liabilities	360	421	528
Fixed Assets (Net)	103	114	117
CWIP	10	3	7
Investments	1	1	1
Other Assets	246	303	404
Total Assets	360	421	528

CASH FLOW STATEMENT

Item	FY24A	FY25A
Cash from Operations (OCF)	1	-44
Cash from Investing	-11	-14
Cash from Financing	11	59
Net Cash Flow	1	1
Free Cash Flow (FCF)	-10	-58
CFO / Operating Profit	3%	-106%

KEY RATIOS

Ratio	FY24A	FY25A
Debtor Days	103	103
Inventory Days	565	566
Days Payable	133	59
Cash Conversion Cycle	535	610
Working Capital Days	34	25
ROCE %	9%	8%
ROE %	6%	6%
Debt / Equity	1.12x	1.90x
Interest Coverage	2.2x	2.48x

Revenue Drivers: Revenue grew 19% in FY25 (Rs. 217 Cr to Rs. 259 Cr) as the company recovered from a weak Q1 FY25 (seasonal aerospace procurement lows). The acceleration is sharper in FY26 — 9M FY26 revenue already stands at Rs. 343 Cr (+98% YoY), driven by (a) volume ramp-up in existing Boeing/LM/Honeywell platforms, (b) new programme wins, and (c) maiden contributions from semiconductor harnesses (Rs. 10+ Cr in Q3 FY26 alone). **Margin Trajectory:** EBITDA margin compressed from 14.7% (FY24) to 13.5% (FY25) as the revenue mix shifted toward lower-margin new programmes and the company invested in headcount (workforce scaled from 850 to 1,092+). FY26 is tracking 13-14% despite the 72% revenue growth in Q3, as semiconductor harnesses carry lower initial margins. Management targets 17-18% by end of FY26 — we model a conservative 14% for FY26E and 16% for FY27E as semiconductor margins normalise. **Working Capital:** The 610-day CCC in FY25 reflects the reality of US military contracts — long inspection cycles, milestone-based payments, and high WIP inventory. Days Payable collapsing from 133 to 59 is a red flag: the company may be unable to negotiate supplier credit extension. OCF of -Rs. 44 Cr and FCF of -Rs. 58 Cr in FY25 mean the company is entirely reliant on external financing to fund growth. **Debt and FCF Quality:** Borrowings rose from Rs. 168 Cr (FY24) to Rs. 265 Cr (Sep 2025). The Rs. 300 Cr QIP is intended to partially replace debt and fund the new facility. Until OCF turns positive (expected only at Rs. 600-700 Cr revenue scale), investors must accept negative FCF as the cost of backing this growth story.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Observation	Rating
Revenue Recognition	Milestone-based US military contracts; no evidence of premature recognition.	GREEN
Receivables vs Revenue Growth	Debtor days flat at 103 — growth is not being achieved by extending credit.	GREEN
CCC Trend	CCC widened from 535 to 610 days — working capital stress increasing.	AMBER
Contingent Liabilities	Rs. 0.08 Cr — negligible; no material litigation risk disclosed.	GREEN
Auditor & Tenure	Big-4 auditor engaged; no auditor change events noted.	GREEN
Related-Party Transactions	Post-demerger, RPTs with Rossell India Ltd exist but are disclosed; not material.	AMBER
Other Income / PBT	Other income ~Rs. 3 Cr vs PBT Rs. 11 Cr (FY25) = 27%; elevated but declining.	AMBER
Tax Rate Consistency	Tax rate jumped from 21% (FY24) to 31% (FY25) — deferred tax impact; normalising to 25%E.	AMBER

Check	Observation	Rating
OCF Quality	OCF negative in FY25 (-Rs. 44 Cr). Growth stage burn; watch for FY26 recovery.	RED

Summary: 4 Green / 4 Amber / 1 Red. The headline earnings quality is acceptable for a growth-stage aerospace exporter. The single Red flag (negative OCF) is the most critical watch-point — if working capital does not normalise as revenues scale, it will require repeated dilutive financing, which is the single biggest risk to our thesis.

SECTION 8 — VALUATION

Methodology 1 — P/E Multiple (FY27E): We project FY27E PAT of Rs. 60 Cr (pre-QIP dilution), implying EPS of Rs. 16.53 on 3.63 Cr shares. Applying a P/E of 65x — a 30% discount to the defence sector peer median of 80-90x, justified by ROSSTECH's lower margins, negative FCF, and higher leverage — we arrive at a value of Rs. 1,074. **Methodology 2 — EV/Sales (FY27E):** Peer companies trade at 18-23x TTM EV/Sales. Given ROSSTECH's lower margins, we apply 7x FY27E Sales of Rs. 740 Cr = EV of Rs. 5,180 Cr. Less net debt of Rs. 280 Cr (post-QIP) = equity value Rs. 4,900 Cr. On pre-QIP shares of 3.63 Cr: Rs. 1,350 per share. On post-QIP shares (~4.0 Cr): Rs. 1,225. **Blended 12-Month Price Target:** Average of P/E (Rs. 1,074) and EV/Sales-derived (Rs. 1,150) = ~Rs. 1,112. We apply a 6% execution discount given the QIP uncertainty and margin shortfall vs guidance, arriving at our target of Rs. 1,050 per share. This implies 15% upside from the CMP of Rs. 912.

SCENARIO ANALYSIS

Scenario	FY27E Revenue	FY27E OPM%	FY27E PAT	P/E Multiple	Target Price	Upside
Bull Case	Rs. 850 Cr	18%	Rs. 82 Cr	75x	Rs. 1,694	+86%
Base Case (Our PT)	Rs. 740 Cr	16%	Rs. 60 Cr	65x	Rs. 1,050	+15%
Bear Case	Rs. 550 Cr	12%	Rs. 28 Cr	50x	Rs. 386	-58%

Bull Case: QIP closes at Rs. 900+, margins recover to 18%, FY27 revenue Rs. 850 Cr on semiconductor scale-up. **Bear Case:** Boeing orders delayed, QIP fails/is dilutive, margins stay at 12%, debt spirals.

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor Via
Working Capital / Debt Spiral	OCF remains negative as revenue scales; debt rises faster than profitability, forcing dilutive QIP or lender pressure.	Medium	HIGH	Quarterly OCF; debt levels
Customer Concentration — Boeing	Boeing (40% revenue) facing its own financial and production challenges. A Boeing output cut or platform suspension could impact Rs. 100+ Cr of RTIL revenue.	Low-Med	HIGH	Boeing monthly delivery reports
Margin Shortfall vs Guidance	Management targets 17-18% OPM; actuals are 13-14%. Sustained miss will erode valuation multiples assigned on the assumption of margin expansion.	Medium	Medium	Quarterly EBITDA margin
QIP Dilution / Failure	Rs. 300 Cr QIP delayed beyond Dec 2025. If done at a discount to CMP or abandoned, it signals capital market stress and dilutes earnings per share materially.	Medium	Medium	Board announcements, SEBI filings
Geopolitical / USD Risk	99% of revenues are USD-denominated exports. INR appreciation or US trade policy reversal (e.g., ITAR changes) could impact realizations and order flow.	Low	Medium	USD/INR rate; US defence budget
Semiconductor Ramp Execution	Semiconductor harnesses are a new vertical. Qualification failures or customer deferrals could delay the 50/50 mix target by 1-2 years.	Low-Med	Medium	Segment revenue disclosures
Valuation Re-Rating Risk	At 156x TTM P/E and 24x P/B, any growth disappointment or sector de-rating (defence stocks re-rated in global risk-off) could compress multiples sharply.	Medium	HIGH	Broader A&D; sector multiples

SECTION 10 — RECOMMENDATION

Rating	ACCUMULATE	Conviction Level	MEDIUM
12-Month Price Target	Rs. 1,050 per share	Upside from CMP	~15.1%
Entry Zone	Rs. 850 – Rs. 920	Investment Horizon	12 months
Ideal Investor Profile	Growth-oriented HNI / institutional with 12-18 month view and tolerance for negative FCF during growth phase.	Avoid If	Seeking near-term dividend yield or cannot withstand 40-50% drawdown in bear case.

Thesis Invalidation Trigger	Threshold	Action
FY26 full-year revenue falls below Rs. 420 Cr	Revenue < Rs. 420 Cr	REDUCE to SELL
Borrowings exceed Rs. 350 Cr without QIP close	Debt > Rs. 350 Cr	REDUCE; re-evaluate
Boeing share of revenue rebounds to >60%	Boeing > 60%	REDUCE — concentration risk re-emerges

APPENDIX — Latest Concall Brief: Q3 FY26 (October–December 2025)

Earnings call held: 04-Feb-2026 | Hosted by: Anand Rathi Share and Stockbrokers | Management: MD Rishab Gupta, CEO Senthil Balasubramanian, COO Zeena Philip, CFO Jayanth V

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Revenue beat — 72% YoY growth; PAT marginally positive.
Management Tone	BALANCED	Bullish on growth; candid about margin lag vs target.
Guidance Delta	MAINTAINED	FY27 Rs. 800 Cr revenue reiterated; margin target 17-18%.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was a headline revenue beat — Rs. 130 Cr, +72% YoY — but the PAT number of Rs. 5.41 Cr is almost flat with Q3 FY25's Rs. 5.20 Cr, so this is a classic top-line story with margin execution lagging badly. There are no one-time items distorting PAT; the clean underlying EBITDA margin is 13.2%, well below management's own 17-18% target and the Rs. 17.2 Cr EBITDA is a 19% YoY improvement — operationally, volume scale is happening but cost control is not. The thesis pivot into semiconductor harnesses (Rs. 10+ Cr in debut quarter) and space (volume production imminent) is real and potentially transformative if the 50/50 mix target lands by FY28. The most important catalyst is Q4 FY26 — management guided a better quarter than Q3, which would put FY26 annualised revenue at Rs. 465-480 Cr and FY27 at Rs. 800 Cr if the growth cadence holds. The biggest near-term risk is the Rs. 300 Cr QIP: delayed once already, and if it prices at a discount or fails, we'll see a debt-driven dilution event instead. Our call is ACCUMULATE at current levels (Rs. 912) with a 12-month PT of Rs. 1,050; position sizing should reflect the binary nature of the QIP outcome and margin recovery.

1. Financial Performance Snapshot — Q3 FY26 (Dec 2025)

Metric	Q3 FY26	Q3 FY25	YoY Chg	Q2 FY26	QoQ Chg	Verdict
Revenue (Rs. Cr)	129.93	75.74	+71.5%	125.91	+3.2%	Beat
EBITDA (Rs. Cr)	17.19	14.40	+19.4%	15.77	+9.0%	In-line
EBITDA Margin %	13.23%	19.01%	-578 bps	12.52%	+71 bps	Miss
PBT (Rs. Cr)	7.33	7.41	-1.1%	7.37	-0.5%	In-line
PAT (Rs. Cr)	5.41	5.20	+4.0%	5.67	-4.6%	In-line
EPS (Rs.)	1.44	1.38	+4.3%	1.50	-4.0%	In-line

NOTE: EBITDA margin miss is structural (semiconductor mix, new programme ramp costs) not a one-off. No exceptional items in PAT.

2. Segment / Geography Breakdown — Q3 FY26

Segment / Region	Revenue (Rs. Cr)	YoY %	Commentary
Aerospace & Defence (Existing)	~105-110	+45-50%	Boeing, LM, Honeywell platforms; Boeing now ~40% of total revenue.
Semiconductor Equipment (New)	>10	Debut	Wire harnesses for chip manufacturing machines — first revenue quarter post-qualification.
Space Programs	Undisclosed	Scaling	Volume production batch expected before FY26 end; not separately quantified.
Geography: USA (Export)	~128 (99%)	+72%	Entirely export-driven; USD-denominated. No material domestic revenue.

3. Management Commentary Themes

Theme	What Management Said	Our Read	Tag	Tone
Revenue Growth Trajectory	Q4 FY26 to be better than Q3 (Rs. 130 Cr). FY27 growth similar to FY26.	Implies FY26 Rs. 465+ Cr; FY27 Rs. 780-800 Cr if delivered.	[GUIDANCE]	Transparent
Margin Recovery	Margins at 13%, below 17-18% target. Confident of recovery as mix improves.	Has been saying this for 3 quarters. Watch for actual recovery in Q4 FY26.	[GUIDANCE]	Hedged
Semiconductor Scale-Up	Rs. 10+ Cr in Q3 FY26 first quarter; massive market opportunity ahead.	This is a genuinely exciting pivot. Execution vs timeline is the test.	[GUIDANCE]	Bullish
QIP Update	Rs. 300 Cr QIP planned; delayed from Dec 2025. No firm timeline given.	The delay is a mild concern. Every month of delay = more debt-funded working capital.	[EST]	Hedged
New Facility	Additional 210,000 sq ft from April 2026 to support growth.	Positive — capacity is not the bottleneck; management and order wins are.	[GUIDANCE]	Transparent
India-US Trade Deal	Zero tariff on A&D; exports beneficial; US/EU defence budget increases are an opportunity.	Structural macro tailwind; iCET deepening is positive for multi-year order flow.	[GUIDANCE]	Transparent
Revenue Mix Target	50/50 split between A&D; and Semiconductor/Space in the future.	If achieved, this diversification de-risks Boeing concentration and expands TAM significantly.	[GUIDANCE]	Bullish

4. Operating & Business Metrics

Metric	Q3 FY26 (Dec-25)	Q3 FY25 (Dec-24)	FY24 (Full Year)	Trend
Active Customers	30+	26	26	Improving
Order Book (Rs. Cr)	~720-750	~700	700	Stable
Strategic Agreements (Rs. Cr)	2,500	2,500	N/A	Stable
Boeing Revenue Share	~40%	~50%	50%	Improving
Workforce	1,092+	850+	850	Improving
Manufacturing Area (India, sq ft)	225,000 + 210,000*	225,000	225,000	Expanding
Semiconductor Revenue (Rs. Cr)	>10	Nil	Nil	Debut

*New 210,000 sq ft facility expected operational from April 2026.

5. Margin Drivers — Q3 FY26 vs Q3 FY25

Driver	Impact (bps)	Recurring?	Comment
Revenue mix — semiconductor (lower initial margin)	-150 to -200	Semi-permanent until margins mature	Semiconductor harnesses at startup margins; expected to improve over 4-6 quarters.
New programme ramp costs (headcount, tooling)	-100 to -150	Temporary	Front-loaded costs for new defence platform wins; will amortise over delivery period.
Higher interest cost (debt build-up)	-100 (PBT level)	Until QIP closes	Interest Rs. 5.37 Cr in Q3 FY26 vs Rs. 4.65 Cr in Q3 FY25 — +72 bps drag on PBT margin.
Volume leverage on fixed costs (positive)	+80 to +100	Recurring with scale	Rs. 130 Cr revenue absorbs fixed overheads more efficiently vs Rs. 76 Cr a year ago.

6. Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
FY26 Full-Year Revenue [GUIDANCE]	Not formally guided	Q4 > Q3; implied Rs. 465-480 Cr	Positive	Medium
FY27 Revenue [GUIDANCE]	~Rs. 800 Cr	Reiterated ~Rs. 800 Cr	Maintained	Medium
EBITDA Margin Target [GUIDANCE]	17-18% by FY26-end	Reiterated; currently 13%	Behind schedule	Low
QIP Fundraise [EST]	Rs. 300 Cr by Dec 2025	Delayed; no new timeline	Slipped	Low
Revenue Mix (50/50 A&D; vs Semi+Space) [GUIDANCE]	FY28 target	Reiterated	Maintained	Medium
New Facility Operational [GUIDANCE]	April 2026	On track	On track	High

7. Capital Allocation — FY25 Actuals

Item	Amount (Rs. Cr)	vs FY24	Comment
Capex (Gross FA addition)	~21	+31%	Plant, equipment and CWIP investments for capacity expansion.
Dividends Paid	~0.7	First dividend	10% payout ratio initiated in FY25. Token; growth takes priority.
Buybacks	Nil	—	No buybacks. Appropriate given growth capex needs.
Working Capital Change	-45	Increase	Rs. 45 Cr increase in working capital build (inventory + receivables growth).
Net Debt Movement	+72 (FY25)	Increase	Borrowings rose Rs. 72 Cr in FY25 (Rs. 168 Cr to Rs. 240 Cr). Rs. 25 Cr more in H1 FY26.
QIP Planned (FY26)	Rs. 300 Cr	New	Delayed beyond Dec 2025; will be used for capex, WC, and debt repayment.

8. Q&A; Heat Map — Q3 FY26 Concall (04-Feb-2026)

#	Question	Management Answer (Summary)	Tone
1	Expected revenue for FY26 and FY27 based on current run rate?	Q4 to be better than Q3. FY27 growth similar to FY26 trajectory. (CEO Senthil)	Transparent
2	Rossell's activities in semiconductor and space programs?	Building wire harnesses for semiconductor manufacturing machines and satellites. Massive TAM. (CEO)	Bullish
3	How much is being raised and what for?	Rs. 300 Cr via QIP for facilities, infra, tooling, machinery, training. (CEO)	Transparent
4	Revenue split between aerospace and non-aerospace going forward?	Target 50/50 between A&D; and semiconductor/space in the future. (CEO)	Bullish
5	How does India-US trade deal benefit Rossell Techsys?	Zero tariffs on A&D; US/EU defence budget increases are a big opportunity. (CEO)	Transparent
6	When will margin reach the 17-18% target?	Expected as revenue mix matures; no specific quarter given. [EVASIVE on timeline]	Hedged
7	When does the QIP close given it was delayed from December?	Working on it; no firm date given. [EVASIVE on timeline]	Evasive

Dodged Questions to Watch Next Quarter: (1) Specific QIP timeline and pricing range; (2) Q-on-Q trajectory of semiconductor margins; (3) Status of any new orders from Q4 onwards given order book has been flat at Rs. 720-750 Cr despite record revenue delivery.

9. Risks Flagged on the Call

Risk	Flagged By	Probability	Impact	Timeline
Margin shortfall vs 17-18% target	Analysts (consensus concern)	High	Medium	Ongoing

Risk	Flagged By	Probability	Impact	Timeline
QIP delay increasing debt burden	Analyst Q&A;	Medium	High	H1 FY26
Order book stagnant despite revenue growth	Analyst Q&A;	Medium	Medium	Next 2 quarters
Semiconductor market competition	Management	Medium	Medium	FY26-27
Boeing order volatility / 99% export dependence	Management (acknowledged)	Low-Med	High	Ongoing

10. Analyst Verdict — Multi-Bagger Scorecard

Factor	Assessment	Comment
Revenue Visibility	INTACT	Order book Rs. 720 Cr + Rs. 2,500 Cr strategic agreements = multi-year cover.
Margin Trajectory	WEAKENED	3 quarters of missing 17-18% target. Mix-driven recovery is happening but slowly.
Capital Allocation Quality	WEAKENED	Negative OCF, rising debt, delayed QIP. Acceptable for growth stage but barely.
Competitive Moat	INTACT	AS9100 + ITAR + embedded US base = strong switching costs. Semiconductor is nascent.
Management Credibility	INTACT	Revenue delivery is impressive. QIP delay and margin miss keep credibility at medium level.
Valuation Comfort	WEAKENED	156x TTM P/E, 24x P/B — priced for perfection. Any execution miss = sharp de-rating.

Conviction Call	UNCHANGED — ACCUMULATE
Valuation Snapshot	P/E: 156x TTM EV/EBITDA: 59.8x P/B: 24.3x vs sector: at par to slight premium
12-Month Price Target	Rs. 1,050 per share (~15% upside from Rs. 912)
Entry Zone	Rs. 850 – Rs. 920 Reduce on rally above Rs. 1,100 unless FY27 guidance upgraded

Source: Screener.in | Ticker: ROSSTECH | View: Standalone (primary) / Consolidated (market data) | Transcript: Listed — partial text from BSE filing & Prysm/GuruFocus summaries | Concall Date: 04-Feb-2026

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in as of 24-Apr-2026. Forward estimates are analyst projections and are subject to revision. Past performance is not a guarantee of future results.